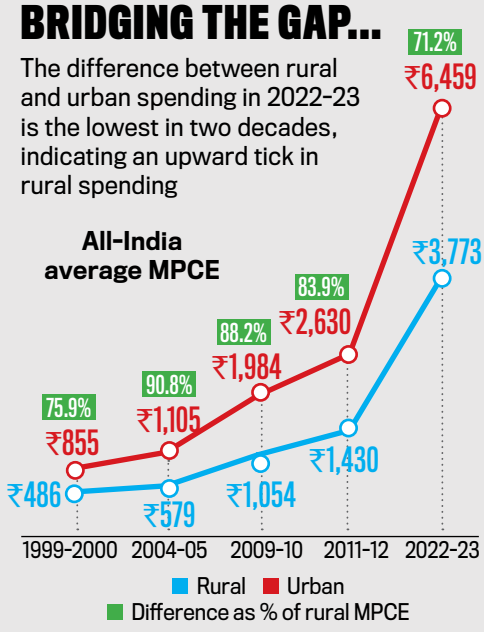
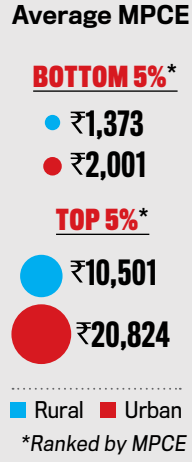
BRIDGING THE GAP...

The difference between rural and urban spending in 2022-23 is the lowest in two decades, indicating an upward tick in rural spending



...BUT

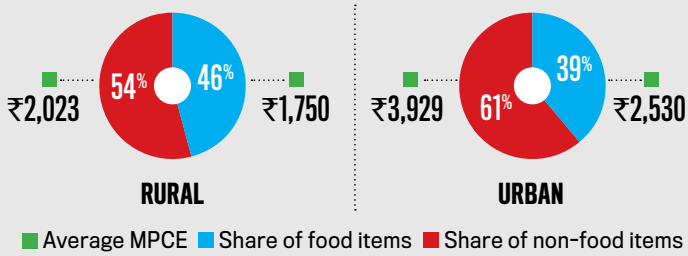
The rich-poor divide is as stark in rural as in urban India



AMONG THE STATES, MPCE IS THE HIGHEST IN SIKKIM FOR BOTH RURAL AND URBAN AREAS (₹7,731 AND ₹12,105, RESPECTIVELY). IT IS THE LOWEST IN CHHATTISGARH (₹2,466 AND ₹4,483, RESPECTIVELY)

LIFESTYLE IMPROVEMENT

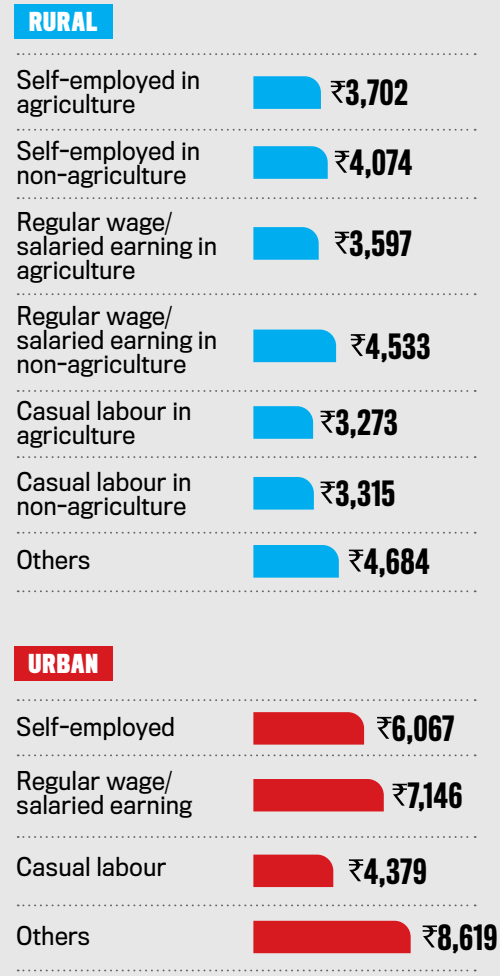
Now, even in rural India, the share of non-food expenditure is higher than the share of spending on food. Within food items, the expenditure on cereals is dropping, and that on fruits and veggies is increasing, suggesting an improved lifestyle



THE RICH AND THE POOR

For the first time, the average MPCE of agriculture households has fallen below the overall average of rural households, pointing to continuing stress in the farm sector

All-India average MPCE by household type in 2022-23



Source: Household Consumption Expenditure Survey 2022-23, MoSPI

more on fruits and vegetables than on cereals—all this indicating a shift towards more nutritious food, even as the preference for processed food is also going up.

Despite the similarities, differences persist. Compared to urban Indians, those in rural areas used a higher portion of their MPCE on cereals (5 per cent vis-à-vis 3.6 per cent), pulses (2 per cent vis-à-vis 1.39 per cent), milk and milk products (8.3 per cent vis-à-vis 7.2 per cent), vegetables (5.4 per cent vis-à-vis 3.8 per cent), and egg, fish and meat (4.9 per cent vis-à-vis 3.7 per cent). Although rural Indians spend more on non-food items than on food in general, the share of their expenditure is lower as compared to urban consumers when it comes to durables, but higher for essentials such as clothing, bedding and footwear.

That said, economic disparities, though narrowing, are as pronounced *within* villages as in cities and towns. The bottom 5 per cent of India's rural population has an average MPCE of Rs 1,373—87 per cent lower than that of the top 5 per cent (Rs 10,501). In urban areas, too, the difference is as wide as 90 per cent—Rs 2,001 for the bottom 5 per cent as compared to Rs 20,824 for the top 5 per cent.

Meanwhile, for the first time, the average MPCE of agriculture households (Rs 3,702) has fallen below the overall average for rural households (Rs 3,773), pointing to continuing stress in the farm sector. With the threat of farmers laying siege to Delhi borders still looming large, that's something the Opposition could count on to corner the government ahead of the election. ■